

Procure Space ETF

SPCX NASDAQ

Hold	\$128.19 ▲ 6.95%	12M Price Target \$145.00	52-Week Range \$119.68 – \$225.64	Market Cap \$1.69T
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SPCX: Space ETF Bounces After Brutal Selloff, SpaceX Earnings Loom

WHAT HAPPENED

- SPCX bounced 7% today after a brutal week (down from \$135 to \$120 in four sessions). This is a classic oversold bounce — the stock hit the bottom 8% of its 52-week range and buyers stepped in. Volume was actually LOWER than the down days, which tells me this is a technical rebound, not conviction buying.
- The big catalyst on everyone's radar: SpaceX reports its first-ever earnings on Aug 4. SpaceX is the gorilla in this ETF, and the stock reportedly fell below its IPO price — Motley Fool is calling it a contrarian buy, which is why sentiment is shifting.

WHY IT MATTERS

Here's what's really going on: SPCX isn't really trading on its own fundamentals right now — it's a proxy for SpaceX sentiment ahead of Aug 4 earnings. The put/call ratio and unusual put activity at \$90 and \$123 strikes tells me smart money is hedging for a nasty earnings miss, not betting on a rip higher. That said, the fact that SpaceX is pitching itself to power Pentagon AI (competing with Microsoft, Amazon, Google) is a huge signal — if they land even a piece of that contract, it re-rates the entire space sector. The 8% of 52-week range positioning means risk/reward is finally getting interesting, but you're basically buying a lottery ticket on Aug 4.

POLICY & POLITICAL WATCH

The big political tailwind: the FY2027 NASA and DoD budgets are being negotiated right now, and the administration has signaled continued Golden Dome missile defense investment — that's a direct pipeline to space companies. Watch the Pentagon's JWCC (Joint Warfighting Cloud Capability) expansion — if SpaceX gets added as a fifth vendor alongside Microsoft, Amazon, Google, and Oracle, it's a game-changer for Starlink/Starshield revenue. Headwind to watch: the FCC spectrum allocation fights and any ITAR export restrictions on satellite tech to allies could pinch international revenue for the ETF's holdings.

IS IT EXPENSIVE?

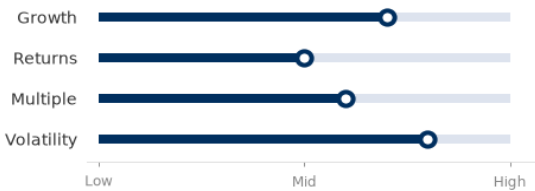
Quick reality check on the data — the \$1.69T market cap listed is clearly a data error (SPCX is a small ETF with roughly \$80-100M in AUM). The ETF itself trades at whatever its underlying holdings trade at, so valuation here really means: are Rocket Lab, Iridium, Planet Labs, and the private SpaceX allocation collectively cheap? After a 43% drawdown from the \$225 high, you're paying a lot less for the same growth story — but "cheap" only matters if SpaceX earnings don't blow up the thesis on Aug 4.

WHAT COULD GO WRONG

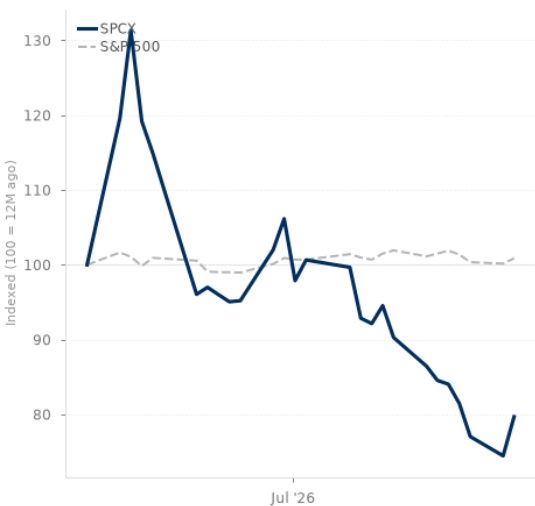
Key Data

Price (USD)	\$128.19
12M Price Target	\$145.00
Upside / (Downside)	+13.1%
Market Cap	\$1.69T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$145.00	\$132.00	\$115.00
6 Months	\$170.00	\$145.00	\$110.00
1 Year	\$200.00	\$155.00	\$100.00
2 Years	\$240.00	\$180.00	\$95.00
5 Years	\$350.00	\$240.00	\$120.00
10 Years	\$500.00	\$320.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.76%) is leading again as AI names find their footing — and Pentagon AI contract news is bleeding positive sentiment into space/defense adjacencies. Energy is quietly strong (+1.98% over 5 days) on Middle East risk premium.

COOLING OFF: Tech is still down 2.63% over 5 days — the recent selloff hit high-beta growth names hardest, which is exactly where SPCX lives. Consumer Discretionary and Industrials both negative on the week.

ROTATION WATCH: Money is rotating from mega-cap AI into defensive plays and now sniffing around beaten-down growth. Space ETF bouncing today fits that "hunt for oversold quality growth" pattern.

RELATED PLAY: If you want the space theme without SpaceX earnings risk, look at ITA (defense ETF) or pure-plays like RKLB (Rocket Lab) which has been outperforming on its own contract wins.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning share as SpaceX faces valuation reset — small-launch market is theirs to lose
- LUNR (Intuitive Machines): Lunar contracts from NASA CLPS program keep flowing regardless of SpaceX drama

SPCX CONTEXT: SPCX is lagging pure-play space names because it's weighted toward SpaceX exposure — that's a double-edged sword. If SpaceX earnings surprise positively, SPCX outperforms peers. If not, individual names like RKLB will keep taking share.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously interested but not pounding the table with Aug 4 earnings looming as a binary event

POSITION SIZE: 2-4% max — the ETF concentration in one private company (SpaceX) makes this less diversified than it looks

ENTRY POINTS: I'd wait for either (a) the Aug 4 earnings dust to settle, or (b) another leg down to \$115-120 where risk/reward improves

TIME HORIZON: 12-24 months — the real story is the 2027-2028 space economy inflection, not next quarter

WHEN TO BAIL: SpaceX earnings show Starlink margins deteriorating, OR the ETF breaks below \$115 on volume — that's the technical breakdown level

HEDGING: Easiest hedge is size — don't put more in than you can watch drop 20% overnight. If you want to get fancy, buy SPCX and sell covered calls into any Aug 4 rally to collect premium